European Taxonomy applied to commercial real estate

What is it, and what are the requirements ?

How can HQE certifications help meet these requirements ?

Mars 2023

CERTIVEA

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Executive Summary

The European Union's strategy on sustainable finance sets new requirements for companies in an effort to redirect capital flows towards sustainable investments and mitigate greenwashing.

As of January1st 2023, all companies with more than 250 employees AND more than €40m in turnover OR more than €20m on the balance sheet are to abide by new reporting regulations, and must identify which of their economic activities, or the economic activities they invest in, can be deemed "green" or environmentally sustainable as per the definitions set by the EU Green Taxonomy.

An economic activity that is described and has technical screening criteria set out in the Taxonomy is considered 'eligible' under the Taxonomy and its related financial KPIs (turnover, capital expenditures -CapEx and operational expenses -OpEx) are therefore also Taxonomy eligible.

If an eligible economic activity meets the eligibility criteria, it is considered Taxonomy-aligned and its associated financial KPIs (turnover, CapEx and OpEx) are therefore also Taxonomy aligned

As per the EU Taxonomy compass, 88 activities in Climate Change Mitigation and 95 activities in Climate Change Adaptation can qualify for Taxonomy alignment, and the construction industry is among the eligible industries.

This implies that many real estate stakeholders along the value chain will be impacted by the Taxonomy :

- Corporations with all or part of their turnover, CapEx and OpEx generated by the construction, renovation, acquisition, rental or use of commercial buildings
- Financial institutions with real estate related assets
- Non-financial institutions, financing specific projects through Green Bonds issuance.

As far as the construction and real estate industries are concerned, the EU Taxonomy specifies under which conditions key construction, renovation and acquisition activities are considered Taxonomy aligned :

- **Substantial contribution to at least one of the six environmental objectives ;**
- **Do No Significant harm (DNSH) to the five other objectives ;**
- **Comply with minimum social safeguards.**

The European Commission translates these conditions into technical screening criteria that must be met in order for each eligible activity to be aligned;
The alignment can be achieved through the selection of an "alignment strategy", defined by the substantial contribution of the activity in question.

At the time of drafting this report, only the substantial contribution criteria for climate change mitigation and climate change adaptation are fully finalized and adopted, including DNSH for the other objectives for each strategy.

For almost two decades prior to the Taxonomy, HQE ("Haute Qualité Environnementale" i.e. High Environmental Quality) certifications were used to assess, qualify and certify sustainable buildings.

HQE certification is a voluntary process carried out by a public or private stakeholder to quantify the sustainability performance of their building. These Certifications are issued by CERTIVEA, an independent, trusted third-party, for all non-residential buildings.

HQE Certified buildings are recognized globally and particularly in France as sustainable, performant, and of high environmental quality. Most high-end buildings in the French market are HQE Certified.

There is a different HQE certification scheme for each HQE Certification, corresponding to the different phases of the real estate life cycle : Construction, Renovation and management and operations of buildings. They tackle all the aspects of sustainable development (Environment, Social, Governance – ESG – and Economy).

The certification schemes are developed by CERTIVEA in partnership with Alliance HQE-GBC (Green Building Council) and other stakeholders. Each scheme is structured into themes. In turn, specific requirements are listed for each of the themes.

Evidently, a building must meet minimum requirements of the relevant certification scheme in order for it to be HQE certified.

To summarise, each of the Green Taxonomy and HQE certifications establish a technical compendium of a sustainable building. In this regard, CERTIVEA carried out a study with the following objectives :

- **Identify the correlations between the Green Taxonomy technical criteria and the requirements of each HQE certification scheme**
- **Evaluate whether meeting the requirements of the HQE schemes is enough to confirm that the Green Taxonomy technical criteria are met;**
- **Confirm whether HQE certifications provide evidence that certified buildings are compliant with Taxonomy criteria**
- **and finally, whether HQE certifications can be a tool for financial and non-financial corporations and their auditors to meet the new reporting standards established by the European Union.**

The scope of this study is defined by the three eligible activities (Construction of new buildings, Renovation of existing building, Acquisition & Ownership of buildings) and three versions of HQE certification schemes.

- HQE Sustainable Building version 4 launched in 2022 and abbreviated to HQE-SB v4 (HQ-BD v4),
- he previous to HQE-SB v3 (HQ-BD v3) version launched in 2019 NF HQE launched in 2011), each of which addresses three types of property projects: Construction, Renovation and Operation.

For each of the three activities studied, CERTIVEA compared the technical criteria for the two alignment strategies and the requirements of the HQE schemes associated with this activity, under different scenarios

From a certification body's perspective, CERTIVEA looked at each technical criterion, to identify the evidence and supporting documentation needed to prove it had been met. CERTIVA then looked for the required evidence and supporting documentation in the HQE certification scheme

In a nutshell, the study carried out by CERTIVEA shows that :

- **A correspondence is established between the Green Taxonomy and HQE certifications.**
- **The HQE SB V4 family applicable since June 2022 provides all the required evidence that an HQE certified building is aligned with the Green Taxonomy.**
- **HQE-SB v3 certifications for Construction, Renovation and Operations and HQE certifications for Construction, Renovation and Operations can provide evidence that many of the Green Taxonomy technical criteria are met.**
- **HQE-SB v3 or NF HQE certified building can be aligned with the Green Taxonomy, but additional technical criteria still need to be verified. These additional criteria are :**
  - **either tackled by the certification using a different approach, and hence additional documentation is required**
  - **or addressed via additional studies carried out to provide documentation**

Based on these findings, HQE certifications are therefore considered a tool to assist financial and non-financial corporations and institutions and their auditors to:

- prove the alignment of their real estate and construction activities with the Green Taxonomy ;
- deliver their sustainability reporting and disclosures as per the directives and regulations in force.

CERTIVEA also offers an additional line of service, consisting of a "Taxonomy attestation of conformity" which substantiates that a HQE certified building is also Taxonomy aligned, further to a verification processThis attestation would be used as a proof of a green activity's alignment, as disclosed by financial and non-financial entities and their auditors.

Marjolaine Meynier-Millefert,
Deputy for Isère,
Vice-President of the French National Assembly Committee on Sustainable Development and Planning
President of Alliance HQE-GBC

"The study carried out by CERTIVEA is extremely useful for all stakeholders in the commercial real estate sector who are impacted by the Green Taxonomy's implementation.

As of January 1st 2023, these stakeholders will have to identify their environmentally sustainable buildings in order to calculate and publish the required indicators on their green activities.

These new requirements are in line with the sustainable finance strategy currently being rolled-out by the European Union. They aim to define and characterise a sustainable building. This is the whole purpose of the sections on construction and real estate activities in the Green Taxonomy.

What is a sustainable building? And what makes a building's construction, renovation or operation sustainable ? While these two questions are now crucial as we face a climate emergency and an energy crisis, it is important to remember that both have been key issues addressed Alliance HQE- GBC since its been established more than two decades ago.

In fact, both questions reflect our fundamental purpose: to help all stakeholders make a commitment to sustainable buildings, towns and cities and to help them distinguish what is truly sustainable from what claims, looks like or pretends to be.

For over twenty years, we have provided a comprehensive, multi-themed approach to sustainable building, inlcuding quality of life, respect for the environment, financial performance and responsible management.

In this context, this fundamental purpose, this approach and the certifications issued by CERTIVEA are now more relevant than ever.

At a time when those impacted by the Green Taxonomy must abide by the relevant new regulations, one of the key findings of this report is that they can rely on the HQE sustainable building approach and on the HQE certifications issued by CERTIVEA to fulfill their regulatory response.

As I applaud CERTIVEA on its work to establish correspondence between the Green Taxonomy technical criteria and the HQE certification schemes for commercial buildings. I am confident this reportis good news for all stakeholders in both real estate and sustainable finance sectors, who need solutions adapted to their needs within the new frameworks."

Patrick Nossent,
President of CERTIVEA

"At face value, the new sustainable finance reporting requirements may seem unrelated to HQE certifications procedure.

However,s, the study presented in this report shows that this is not the case when it comes to sustainble commercial buildings, since many correspondences can be found.
I am happy with the findingswhich confirmed what we already knew, concerning the relevance of HQE certifications even twenty years after they were created.

The many transitions (climate, energy, digital, work patterns, etc.) the world is facing today are challenging particularly in the construction and real estate industry. Through HQE certification, we can help the concerned stakeholders improve their buildings' performance and have it recognised.

Through the years, non-residential buildings have thus become greener, smarter. more flexible, and more friendly with an enhanced focus on users' health, wellbeing and efficiency.

CERTIVEA, a committed certification body, is proud to have contributed in the evolution of the built environment.

Commercial real estate stakeholders face many challenges today, one of which is the the obligation to identify all of their assets aligned with the technical criteria set by by the European Commission in the Green Taxonomy.
This is all the more significant for investors who are today incentivised to reorient their capital flows towards sustainable activities. To this end, these investors should soon be guided by a set of harmonised and comparable KPIs, in an effort to avoid greenwashing
We are very happy to be able to help Commercial real estate stakeholders meet this challenge.

The Green Taxonomy provides a new common definition to what has always been to the core of HQE certifications: sustainable buildings.

We compared the two technical compendia from our perspective as a certification body, looking for operational, tangible and effective components.
As per this report, HQE certifications provide evidence that certified buildings are aligned with the Green Taxonomy, which will simplify the task of corporations and their auditors.

The main purpose of this report is to provide the public with a pedagogical and transparent synopsis of our work - I wish you a good reading."

1 Commercial real estate : Many stakeholders are impacted by the Green Taxonomy and the European Union's strategy on sustainable finance

The European Union's (EU) strategy on sustainable finance sets new obligations for financial and non-financial institutions. This chapter outlines the general framework and schedule for these new requirements applied to the real estate sector.

1.1 - European Union's sustainable finance objectives

The European Union's sustainable finance strategy falls within the framework of the Green Deal, the EU's general plan towards a sustainable economy and climate neutrality by 2050, with an ambitious goal to cut net greenhouse gas emissions by at least 55% by 2030.

Achieving the Green Deal's goals requires substantial investment in all economic sectors, especially in real estate, since "Collectively, buildings in the EU are responsible for 40% of our energy consumption and 36% of greenhouse gas emissions, which mainly stem from construction, usage, renovation and demolition." (In focus: Energy efficiency in buildings | European Commission (europa.eu)

The EU strategic agend aon sustainable finance focuses on four main priorities :

- Support financing the transition to a sustainable economy by directing capital flow towards sustainable activities and assets
- Mitigate greenwashing, by reducing information asymmetry between the reporters and users to improve the reliability and comparability of information on sustainability
- Lead the way to a green and resilient economy, by encouraging financial and non-financial entities to systematically integrate sustainability into their risk assessments
- Forge the path to international standards in sustainable finance by harmonising international policies and regulatory frameworks.

Two key concepts are implied by the EU strategy on sustainable finance :

- Investors are looking to increase the volume of capital allocated to sustainable activities because they are ongoing, resilient and less risky. This means they are ready to accept a lower return on their capital.
- Investors are calling on investee companies to disclose information about their approach to climate change using recognised regulatory framework.
- Companies in many sectors are taking advantage of sustainability-linked lower interest rates, whilst mitigating business risk from potential disruption of operations or supplies or from reputational damage.

Finance and greenwashing

Greenwashing is a substantial concern for the financial industry, and specifically for regulators, such as the European Securities and Markets Authority (ESMA), the French financial markets authority (AMF) and the German federal financial supervisory authority (BaFin).

In the financial sector, Greenwashing can come in various forms:

- Intentional spread of misleading information,
- Not verifying ESG disclosures and scores (Lack of assurance),
- "Green-wishing", and unmet promises.

1.2 - An EU strategy built on Taxonomy and reporting requirements

The EU strategy on sustainable finance is governed by a multitude of regulatory developments, some of which are already in force, while others are under development or advisement, or waiting to be announced. This regulatory framework is deemed to answer these questions:

- What is a sustainable activity ? What is a sustainable asset ? How can we demonstrate an activity's contribution to sustainable development ? In the real estate sector, what is a sustainable building ?
- What information must financial and non-financial companies disclose to all stakeholders including investors to report their sustainable activities ?
- What new financial instruments can leverage the capital market for sustainable development ?

Today, several market actors such as international organisations, NGOs, ESG rating agencies, etc., and different areas of the globe have significantly different understandings, definitions and approaches of sustainability, their specific screening and assessment criteria and their guidelines for sustainability reporting.
This multi-perspective competitive framework makes sustainability more complex for companies; and with their capital at stake, investors are questioning these prevailing sustainability practices.

> "We are taking a leap forward with **the first-ever climate Taxonomy**, which will help companies and investors to know **whether their investments and activities are really green**.
>
> This will be essential if we are to mobilise private investment in sustainable activities and make Europe climate-neutral by 2050."
>
> Valdis Dombrovskis,
> European Commission Executive Vice-President
> for An Economy that Works for People, on 21 April 2021

1.2.1. A common language and a benchmark for all stakeholders

A pilar of its sustainable finance strategy, is to establish a common language to define, assess, and report sustainability.
This common language is built around

- **A regulatory classification tool** that helps investors, companies, and financial institutions to define a standarised understanding of which economic activities can be considered environmentally sustainable : the Taxonomy.

The next step could be Social Taxonomy, establishing a label for activities that contribute to social welfare, and classifying economic activities that significantly contribute to social goals in the EU and represent a common language for investors, businesses and regulators, by defining what is sustainable from a social perspective and what is not.

- **A regulatory transparency tool that introduces mandatory disclosure obligations**, requiring companies and investors to disclose their share of Taxonomy-aligned activities to allow the comparability of companies and investment portfolios.

The European Union is in the process of adopting two regulations on this issue: in the sustainable finance framework, there are two disclosure tools

- Sustainable Finance Disclosure Regulation (SFDR); for financial market participants (banks, asset management firms, institutional investors, insurers and reinsurers, pension funds, investment consultants, etc.):
- Corporate Sustainability Reporting Directive (CSRD) for "non-financial" companies: thereplacing the 2014 Non-Financial Reporting Directive (NFRD) as of march 2021

Companies reporting under the EU's upcoming Corporate Sustainable Reporting Directive (CSRD). must comply with rules and requirements set out in the "European Sustainability Reporting Standards" (ESRS) . in its version approved on November 15th 2022 by EFRAG

The European Financial Reporting Advisory Group (EFRAG) was mandated by the European Commission since June 2020 to prepare for new EU sustainability reporting standards.

> "We are witnessing the kick off of a major transformation of key sustainability regulations, whren it comes to ESG disclosures, especially metrics related to global warming."
>
> Robert Ophèle, Chairman of the Autorité des Marchés Financiers (AMF), at a hearing by the French National Assembly Finance Committee on implementation of the EU Taxonomy, on 19 January 2022

Figure 1: Overview of EU strategy on sustainable finance

1.2.2. EU Ecolabel, Green Bonds and investor advice

The European Union is finalising its strategy on sustainable finance through :

- **An upcoming extension of the EU Ecolabel to potentially include individual financial products.** This EU Ecolabel for the financial sector would also be based on the Green Taxonomy;
- **An inclusion of sustainability risks in retail investment decisions.**
  Investment advisors are already required to ask their clients about the desired outcome of their sustainable financial products, advise them about the sustainability outcomes of potential financial products, and match retained products with the desired outcomes.
- **New financial instruments : Green Bonds.**
  Always in an effort to mitigate greenwashing, the European Union is also establishing a standard framework to ensure green bond proceeds are effectively allocated to environmental and sustainable projects. To enhance transparency and trust, This framework requires, green bonds to undergo an assessment by an external reviewer registered with the European Securities and Markets Authority (ESMA) and subject to ongoing supervision, to ensure compliance, notably regarding Taxonomy alignment of projects in which proceeds will be invested.

Jean-Eric Fournier,
Sustainable Development
Director at Covivio

What main challenges does the European Taxonomy raise for Covivio ?

" The EU Taxonomy is expected to play a key role in the coming years, as it was.designed to help fund the climate transition by channelling investments to assets that are considered "green". We are actively on track, and we already identified our "eligible" assets in compliance with the regulatory requirements (see our last annual sustainable performance report).

We now have to identify from the latter the activities "aligned" with the Taxonomy criteria, andwe can for that end build on our far reaching and structured CSR strategy.For example, for several years now we have engaged in certifying 100% of our developments by independent third-parties such as CERTIVEA. "

What are your expectations to actually achievthe alignment ?

" While the Taxonomy does not refer to environmental certifications, it seems to me that HQE certifications, for example,are genuine and objective road maps based, on solid sustainability fundamentals. I expect them to continue to serve as a reference to identlify sustainable buildings.

As far as Covivio is concerned, we were able to get financing for HQE certified projects (Excellent or Exceptional level), under the cloak of green financing. We now wonder if these projects would meet the Taxonomy's technical criteria. And it was necessary for CERTIVEA to deliver a solid response, and an interpretative framework for Taxonomy alignment

For our new operations, we have noted that the recent version of HQE certification(V4) by CERTIVEA offers indeed an opportunity to retain HQE certification's quality markers recognised by the market, while meeting the Green Taxonomy, alignment criteria. "

1.3 - New requirements for companies and their auditors

The European Union's strategy on sustainable finance is manifested in the following increasing requirements(see schedule in section 1.5), that apply to the relevant financial and non-financial undertakings (see section 1.4),

- **Identify their eligible activities and their sustainable activities** and demonstrate the alignment of these activities with the Green Taxonomy.
  To be eligible or to qualify as a sustainable activity, an economic activity should contribute substantially to at least one of its six environmental objectives (see section 2.3). So far, the European Commission has established an evolving list of around a hundred eligible activities.

  Just because an activity is eligible or qualifies as a sustainable activity does not mean that it is Taxonomy aligned .
  To determine if an eligible or qualified activity is Taxonomy-aligned, it has to satisfy additional conditions.

- **Calculate their Taxonomy key performance indicators**
  These indicators report on both eligible activities (eligibility KPIs) and Taxonomy aligned activities (alignment KPIs).

Non- financial undertakings

- Eligible turnover percentage: which indicates the proportion of the net turnover associated with eligible activities Eligible (CaPex) percentage : which indicates the proportion of the capital expenditureassociated with eligible activities
- Eligible (OpEx) percentage which indicates the proportion of the operating expenditure associated : with the company's eligible activities

  If eligible OpEx are insignificant, the company can apply the materiality exemption clause and publish a zero percentage. The insignificance shall be justified.
- Green turnover percentage, which indicates the proportion of the net turnover derived from products or services that are Taxonomy-aligned
- Green Turnover Percentage = turnover (or revenue) derived from Taxonomy aligned products or services / Total turnover
- Green CapEx percentage:
  - which indicates the proportion of the capital expenditure of Taxonomy-aligned activities. Green CapEx percentage = CapEx of Taxonomy aligned activities/Total CapEx

- Green OpEx percentage: which indicates the proportion of the operating expenditure associated with Taxonomy-aligned activities
  Operating expenses include expenses incurred in the renovation, maintenance, upkeep and repair of buildings, as well as any other direct costs associated with the properoperation of green assets.
  Similarly, for eligible OpEx, if aligned OpEx is insignificant, the company can apply the materiality exemption clause and publish zero percentage. The insignificance shall be justified.

Financial companies:

- Percentage of eligible assets: shows the proportion of a financial institution's eligible assets (loans, securities held, managed assets, etc.) compared to its total assets
- Percentage of green assets or Green Asset Ratio (GAR): shows the proportion of a financial institution's Taxonomy aligned assets compared to its total assets
- Green Turnover Percentage = Assets related to Taxonomy-aligned activities / Total assets

- **Convert their Non-Financial Performance Declaration (NFPD) into an integrated reporting system that complies with the new sustainability reporting standards** currently under developpement by the European Financial Reporting Advisory Group (EFRAG).
  In addition to performance metrics, the reporting system requires disclosure of all material information on its sustainability-related impacts, risks and opportunities in accordance with applicable ESRS.

- **Acquire third party assurance, in compliance with the new rules of the Corporate Sustainability Reporting Directive (CSRD).**
  Organisations will also be required to seek "limited" assurance of their sustainability disclosure from a neutral, trusted, and experienced third party that reviews the information disclosed.

Beyond a self-assessment or a questionnaire applied today in certain ESG disclosures, the requirements set by the European Union are ultimately designed to ensure more harmonised, relevant and reliable disclosures with limited inconsistencies between the reporters and the users of these reports.

It is important to note that today, the EU's strategy on sustainable finance doesn't currently define thresholds for eligible and aligned activities.

1.4 - Green Taxonomy and commercial real estate. Who is at stake ?

Today, companies with more than 500 employees (250 employees as of January 1st 2023) AND €40m in turnover OR €20m on the balance sheet, are concerned by the EU's strategy on sustainable finance and listed SMEs would also be concerned in the coming few years.

Concerned undertakings must identify which of their economic activities, or the economic activities they invest in, can be deemed as "green" or environmentally sustainable as per the definitions set for activities using the EU Green Taxonomy rules and technical criteria.

Concerned undertakings must identify their eligible and green activities, calculate the related KPIs and report this data.

Companies with no eligible or green activities to be reported are still required to disclose this information as zero eligible and / or green KPIs.

1.4.1. Eligible activities in the construction & real estate sector

As per the EU Taxonomy Compass listing Taxonomy-eligible activities established by the European Commission, there are today 88 activities under Climate Change Mitigation and 95 listed activities under Climate Change Adaptation

Seven eligible activities are listed within the "Construction and real estate" sector (source: Delegated act 2021/2139).

Eligible activity: number and heading	NACE Codes often associated with this activity, indicated in Delegated Regulation 2021/2139
7.1: Construction of new buildings "Development of building projects for residential and non-residential buildings by bringing together financial, technical and physical means to realise the building projects for later sale as well as the construction of complete residential or non-residential buildings, on own account for sale or on a fee or contract basis"	**F41.1, F41.2 or F43**
7.2: Renovation of existing buildings " Construction and civil engineering works or preparation thereof"	**F41 or F43**
7.3 : Installation, maintenance and repair of energy efficiency equipment	F42, F43, M71, C16, C17, C22, C23, C25, C27, C28, S95.21, S95.22 or C33.12
7.4 : Installation, maintenance and repair of charging stations for electric vehicles in buildings (and parking spaces attached to buildings)	F42, F43, M71, C16, C17, C22, C23, C25, C27 or C28
7.5 : Installation, maintenance and repair of instruments and devices for measuring, regulation and controlling energy performance of buildings	F42, F43, M71, et C16, C17, C22, C23, C25, C27 or C28
7.6 : Installation, maintenance and repair of renewable energy technologies	F42, F43, M71, C16, C17, C22, C23, C25, C27 or C28
7.7 : Acquisition and Ownership of buildings "Buying real estate and exercising ownership of that real estate"	**L68**

Daphné Millet,
CSR Director at Icade

"**The European Taxonomy is a tremendous opportunity for companies and investors to accelerate their environmental transition.** Europe is once again ahead of the game in sustainable finance and has inspired similar initiatives around the world. By defining sustainabile activites based on objective criteria, Taxonomy will be a tool for stakeholders to invest in sustainable projects, and for companies to finance their projects.

However, the pitfalls of this initiative are many. Starting with the room for interpreting many of the criteria, creating controversy within the industry that has yet to be settled.

In addition, certain criteria are far below the stringent requirements of common sustainability standards in use. Whereas some others are far below the stringent requirements of common sustainability standards in use, while some others are far-removed from market practices.
Last but not least, the Taxonomy sets out an additional list of indicators to those established and recognized by existing standards (such as the TCFD, SBTi, GRI), thus multiplying the indicators used to measure environmental performance for a same activity, which is confusing and time consuming.
To enable the European Taxonomy's full potential and accelerate the environmental transition, we need to ensure consistency and pragmatism in criteria interpretation, to allow stakeholders to improve their practices at a steady yet reasonable pace.

In this context, the role of certifications such as HQE, which have always served as a quality stamp for environmentally performing buildings, would be crucial."

1.4.2. Commercial real estate multiple categories of stakeholders are concerned

A large numbers of financial and non-financial companies, undertaking activities related to the commercial sector, are directly concerned by the Green Taxonomy.

Hereafter is a non-exhaustive list of examples of eligibility and alignment. KPIs

Non-financial companies:

- Real estate developers and other companies building, renovating or selling buildings: percentage of eligible turnover, green turnover, eligible OpEx and green OpEx;
- Real estate companies that buy, sell, renovate, rent or operate buildings: percentage of eligible CapEx, green CapEx, eligible turnover, green turnover, eligible OpEx and green OpEx;
- Non-real estate companies (luxury, distribution, logistics, etc.) that buy, sell, renovate, rent or lease commercial propoerties for extended periods of time (stores, warehouses, etc.): percentage of eligible CapEx and green CapEx.

Financial companies:

- Real estate activities of banks and insurers (undertaking activities in the real estate industry): percentage of eligible CapEx, green CapEx, eligible turnover, green turnover, eligible OpEx and green OpEx;
- Banks granting credit to finance commercial real estate transactions : percentage of eligible assets and green assets (Green Asset Ratio or GAR);
- Financial institutions and asset management firms managing financial portfolios invested, all or in part, in listed and unlisted real estate companies: percentage of eligible assets and green assets (GAR);
- Advisors recommending individual commercial real estate investment products: are required to offer productsfor which the GAR matches the client's expectations

Companies issuing Green Bonds for real estate projects: obligation to prove and verify that the funds are only allocated to finance Taxonomy aligned projects.

Yona Kamelgarn
Non-financial Performance Manager
Caisse des Dépôts Group

"Contributing to the acceleration of France's ecological transformation is at the heart of the general interest missions and a fundamental purpose of Groupe Caisse des Dépôts. Since 2014, we have been monitoring and managing our contribution based on the group's own internal classification system. As we are investor, lender and operator, the Taxonomy provides us with an opportunity and a lever to rethink our management steering. By providing a common language for investors, banks, businesses, rating agencies and civil society, the taxonomy builds a genuine accountability for environmental projects, in terms of reporting on the sustainability of financed activities and improving objective dialogs among peers, based on standardised and common indicators.

Beyond mere regulatory reporting, we eagerly adopted the Taxonomy as one of the tools to gradually improve how we analyse and steer our investments, financing and operational activities and to better manage our environmental risks.

However, considering the technical complexity of the regulatory text that remains open to broad interpretation, many challenges persist if we are to make full use of the opportunities associated with the Taxonomy.

Initiatives aiming at clarifying all interpretation of the criteria and making them usable are necessary, as they would be providing tools to enable investors and financiers to easily access reliable taxonomy information on financed assets. For real estate in particular, labels and certifications =of which the HQE certification, have a key role to play to allow an easy and robust identification of our aligned assets"

Green Taxonomy : an subject matter not just for the real estate and construction sector, but also for other sectors through their real estate activities

Sectors	Number of businesses in study sample	Average share of eligible turnover	Average share of eligible CapEx	Average share of eligible OpEx
Property/Construction	11	78%	75%	66%
Automotive	3	54%	58%	55%
Transport	6	41%	52%	62%
Energy & Utilities	7	36%	53%	31%
Manufacturing	13	27%	35%	26%
Media & Entertainment	7	25%	39%	20%
Technology	7	24%	45%	27%
Services	9	15%	47%	31%
Oil & Gas	1	10%	13%	15%
Retail & Distribution	14	2%	41%	7%
Healthcare	7	1%	32%	0%
Telecommunications	2	1%	26%	11%
Aeronautics & Defence	2	0%	18%	0%
Insurance	4	0%	0%	0%
Banks/Financial Services	*Financial companies were excluded from this analysis.*			

Sample of 93 businesses

Légende

50-80% of eligible turnover share

10-50% of eligible turnover share

Eligible turnover share below 10%

Table extracted from the study by MEDEF, Deloitte and EY: "4th annual report on implementation of the Non-Financial Performance Declaration. ESG Reporting of French companies: are they ready for the CSRD?"

This study by MEDEF, Deloitte and EY reporting on 100 big corporations, mostly from the SBF120 index, shows that the real estate and construction sector presents the highest share of Taxonomy-eligible activities.

Apart from the real estate sector, it is noteworthy that a substantial share of eligible CapEx in numerous sectors (retail and distribution, services, healthcare, etc.) is associated with real estate activities within these sectors (office buildings, stores, warehouses, etc.).

1.5 - Increasing requirements as of 2022

EU strategy on sustainable finance is governed by a set of regulations, some of which are already in force, while others are under development or advisement or waiting to be announced.

The Green Taxonomy focuses on six environmental objectives (see section 2.3). So far, only technical criteria concerning the strategies for alignment (see section 2.3) with the two climate objectives (Climate change mitigation and Climate change adaptation) have been published.

The following obligations are valid for companies with more than 500 employees (250 employees from 1 January 2023) AND €40M in turnover OR €20M on the balance sheet.

Obligations as of January 1st 2022 (2021 annual disclosure)

- Non-financial companies shall only disclose the proportion of their Taxonomy-eligible economic activities in their total turnover, CapEx and OpEx In addition, they need to provide relevant qualitative information associated with these eligibility proportions.
- Large financial institutions shall disclose theproportion of their Taxonomy-eligible assets for the previous-calendar year

Financial institutions that may not have all the information publicly available for their own eligibility disclosures in the first reporting cycle (in 2022) may estimate their proportion of eligible activities based on their portfolio companies

Obligations as of 1 January 2023 (2022 annual disclosure)

- Non-financial companies shall disclose the proportion of their Taxonomy-aligned or green economic activities in their total turnover, CapEx and OpEx for for the previous-calendar year according to the adopted alignment strategy with the climate change adaptation or mitigation objective (see section 2.3).
  They shall also disclose the proportion of their Taxonomy-eligible economic activities in their total turnover, CapEx and OpEx for the previous-calendar year and compare them to the proportions disclosed within the previous reporting cycle;
- Large financial institutions shall disclose the proportion of their Taxonomy-eligible assets for the previous-calendar year based on information made publicly available by their portfolio companies in the previous reporting cycle

Obligations as of 1 January 2024 (2023 annual disclosure)

- Non-financial companies shall disclose the proportion of their Taxonomy-aligned or green economic activities in their total turnover, green CapEx and green OpEx for 2023 and compare them to the disclosed proportions for the same KPIs disclosed within the previous reporting cycle;
- Large financial institutions shall disclose the proportion of their Taxonomy-eligible assets for the previous-calendar year based on information made publicly available by their portfolio companies in the previous reporting cycle. As per the indicative schedule, companies will be required to disclose their ESG performance as per the European Sustainability Reporting Standards framework, in force as of November 2022.

2 What is a sustainable building? The Green Taxonomy response and the HQE Certification response

2.1 - Green Taxonomy and HQE certifications: two sustainable building approaches.

The Green Taxonomy sets a single framework for all companies (see threshold criteria in section 1.4) to classify their activities and to identify their environmentally sustainable activities and assets.

For the commercial real estate sector, the Green Taxonomy establishes a set of technical criteria defining green or sustainable buildings

For almost two decades prior to the Taxonomy, HQE certifications were used to define, assess, qualify and certify sustainable buildings.

Both the Green Taxonomy and HQE certifications therefore tackle the same issue but use different reasoning and different approaches. In short, each of the Green Taxonomy and HQE certifications establish a technical compendium of a sustainable building, using different perspectives approaches.

The EU Taxonomy Regulation is part of the wider EU sustainable finance initiative and sets a series of performance thresholds for economic activities applicable to different types of user (see sections 1.4 and 1.5). It establishes legal and technical frameworks.

HQE certification is a voluntary process that can be carried out by any International stakeholder to quantify the sustainability performance of their property, be it a building, a city, or an infrasstructur. This quantification is denoted in a set of criteria established in the certification schemes.

HQE certification is a sign of quality, issued by an independent third party, and offers competitive advantages.

2.2 - HQE Certifications for sustainable buildings, a voluntary process

What is a certification ?

A certification is a procedure whereby a trusted third-party, the certification body, provides a written declaration that a product or service complies with a set of requirements specified in a particular certification scheme. It is also a sign of quality issued by the trusted third-party upon the procedure's completion.

Since its creation in 2004, HQE Certification has evolved and multiple versions of the certification schemes have since then been released, stipulating the requirements to be met by a building for it to be deemed "sustainable" for both residential and non-residential properties.

QUALITEL Association and its certification body CERQUAL are the sole administrators of HQE Certifications for all residential properties.

As for HQE certifications for all types of commercial buildings, they are issued solely by CERTIVEA, a compnay with a mission, and a certification body subsidiary of The Scientific and Technical Centre for Building (CSTB) which a public industrial and commercial company (EPIC), aiming to serve its clients and the public interest.

This report by CERTIVEA only covers HQE certifications for commercial buildings.

2.2.1. HQE Certifications: promoting highly performant and sustainable buildings

HQE certifications are intended for public and private, commercial real estate stakeholders around the world, leading projects at different phases of the real estate life cycle.

HQE Certification is not an obligation ; it is a voluntary process which guides stakeholders of the real estate sector towards an improvement of the environmental, social and economic performance of their buildings, while enhancing the management and governance aspects of their projects.

Each HQE certification is governed by a certification scheme, providing project stakeholders with a road map that helps them manage sustainable development issues, and the increasing complexity of the construction, renovation and even operation of buildings.

HQE Certified buildings are globally recognized as sustainable, highly performant, and of high environmental quality. Most high-end buildings in the French market are HQE Certified, and highly valued by the market.

Distinct from HQE certifications, the Green Taxonomy is a mandatory framework, that all stakeholders who meet certain conditions (see section 1.4) must abide by. As of 2023, the Green Taxonomy technical framework will be used to asses whether a a real estate property or a building qualifies as sustainable.

2.2.2. HQE Certification Schemes developed in partnership with Alliance HQE-GBC

HQE certifications are built on solid scientific and technical certification schemes, tailored to various types of buildings: offices, retail outlet, warehouse, hotel, childcare centre, school, campus, healthcare, museum or library, etc.

The schemes are developed in partnership with Alliance HQE-GBC, with the contribution of other parties Learning from feedback of concerned market players, the schemes are constantly evolving to incorporate market shifts and emerging public needs. Alliance HQE-GBC is an established member of the World Green Building Council (WGBC), the alliance of professionals for a sustainable quality of life. It brings together unions, professionals federations, companies, local authorities and individuals. Alliance HQE-GBC France looks at buildings, urban planning and infrastructures through the life-cycle stages in terms of quality of life, respect of the environment, economic performance and responsible management.

CERTIVEA is the exclusive, long-standing partner of Alliance HQE-GBC for HQE certification of commercial buildings, and territories.

2.2.3. A Holistic sustainable development and ESG approach

HQE certifications take up a holistic approach, integrating all aspects of sustainable development and ESG whereas the Green Taxonomy focuses only on environmental aspects.

In this respect, Alliance HQE-GBC and CERTIVEA share the same vision:

- quality of life and environmental quality are inherent to each other
- living and working in a decent, high quality environment, boosts economic performance.

The certification schemes are structured into themes and each theme includes several requirements.

Reaching outstanding performance levels in a particular theme, sometimes at the expense of another, doesn't guarantee a HQE Certification for the building. True to the holistic approach, HQE certifications cannot be obtained without reaching a threshold in each one of the themes.

2.2.4. New version of HQE certifications launched by CERTIVEA in June 2022

In June 2022, a new version of HQE certifications was launched by CERTIVEA, including the 4th version of "HQE Sustainable Building certification" (HQE-SB v4).

Each of these two families consists of three certifications, each corresponding to a milestone of the real estate life cycle construction, renovation and operation.

HQE SB v4 supersedes the 3rd version of "HQE Sustainable Building Certification" (HQE-SB v3) launched in 2019, and the "NF HQE commercial Building certifications" launched in 2012.

Although CERTIVEA stopped marketing the previous versions end-2022, these certifications are far from being obsolete. In fact, every project kicked off and signed before the release of the new version shall be certified under the previous versions schemes.

Figure 22: HQE-SB v4 Construction themes

2.2.5. Audits by an independent third party

HQE certifications go beyond and above self-declaration and self-evaluation practices. Independent third-party audits are systematically part of the certification process.

These audits are usually carried-out on site, and are intended to to thoroughly verify information and supporting documentation submitted by the project team.

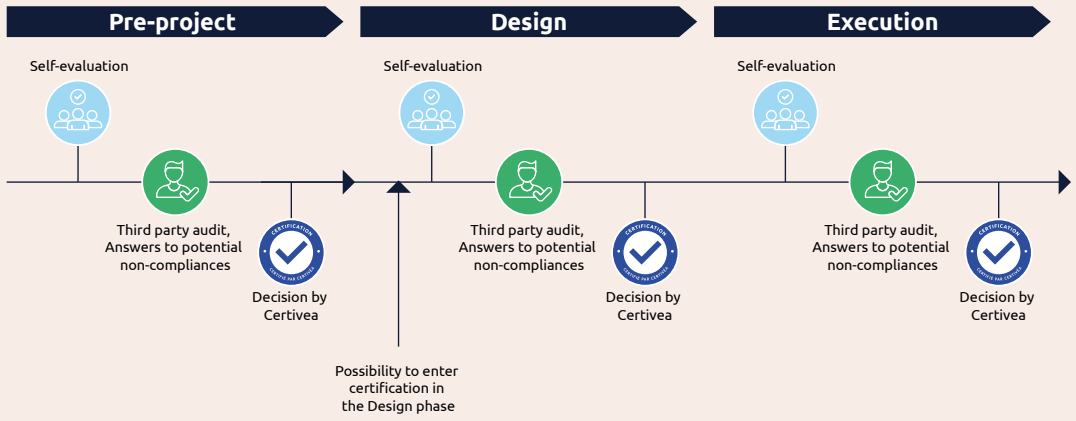

Figure 3: HQE certification process for construction or renovation

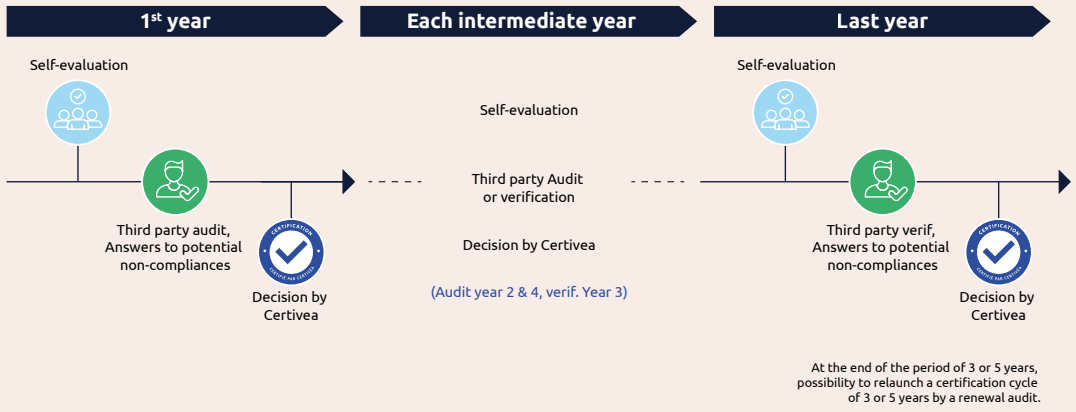

Figure 4: HQE certification process for a building's operation over 3 or 5 years

Key figures on NF HQE or HQE-SB certified commercial buildings in France

- **3,542** NF HQE or HQE-BD certified commercial buildings, with total BUA exceeding 46 million m²
- More than **40** types of HQE certified buildings: offices, retail outlets, warehouses, hotels, schools, universities, healthcare, police stations, museums, sports compounds, airports, etc.
- **68%** of HQE certified commercial buildings are office buildings
- **10%** of HQE certified commercial buildings are schools or universities
- **62%** of HQE certified commercial buildings are located in Paris Ile-de-France
- **Distribution** of HQE certifications by type of operation:
  - **66%** new buildings
  - **11%** renovated buildings
  - **23%** buildings in operation

2.3 - Green Taxonomy principles

The centerpiece of the EU Green Taxonomy is Regulation 2020/852 of the European Parliament and of the Council of 18 June 2020 "*on the establishment of a framework to facilitate sustainable investment*".

This regulation states that an activity shall qualify as environmentally sustainable where that economic activity (Art. 3):

- **Contributes substantially (CS) to one or more of the six environmental objectives** set out in Article 9 of the Regulation (see section 2.3.2);
- **Does not significantly harm (DNSH) to any of the six environmental objectives set out in Article 9**
- **Is carried out in compliance with the minimum social safeguards** laid down in Article 18 of the Regulation (EU) 2020/852 of the European Parliament and of the Council of 18 June 2020 on the establishment of a framework to facilitate sustainable investment, and amending Regulation (EU) (see section 2.3.2);
- **Complies with the technical screening criteria established** by the Commission appearing in the Delegated Acts adopted by the European Commission for the six environmental objectives.

An activity meeting these aforementioned four conditions is hence said Taxonomy- aligned.

2.3.1. Taxonomy-Alignment conditions

Just because an activity is Taxonomy-eligible does not imply that it is Taxonomy aligned .

An eligible activity is Taxonomy aligned if and only if it meets ALL the conditions set out in Regulation 2020/852

These conditions are inherent to each other, and cannot be partly met.

Applied to commercial real estate activities, this means that the construction of a new building, the renovation of an existing building, or the acquisition or ownership of a building is either Taxonomy-aligned and hence sustainable, or not.

As expounded in section 1.4, Taxonomy-alignment requires the KPIs to be consolidated at company level to be included within the reporting.

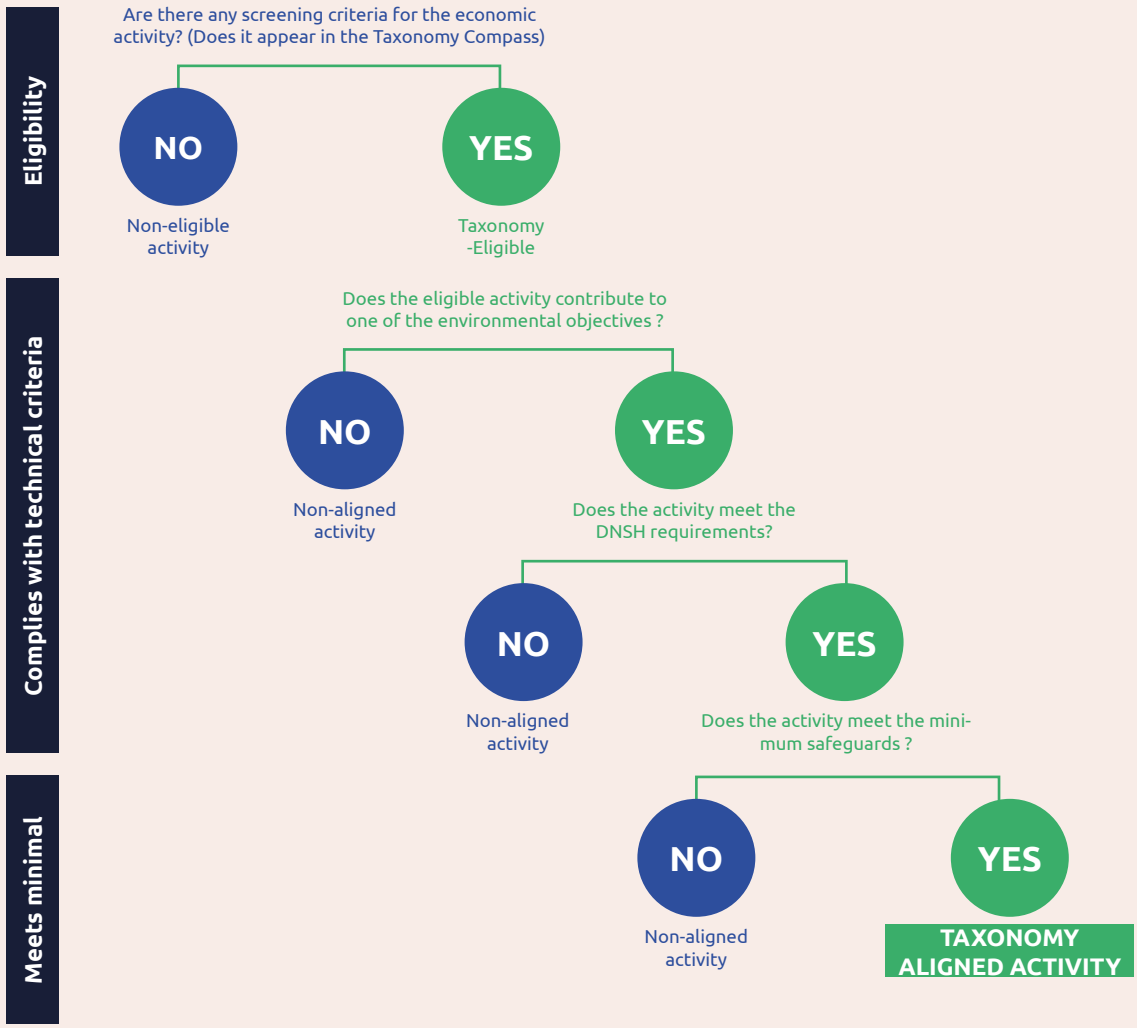

Figure 5: Decision tree for determining whether an activity is aligned or not

2.3.2. Substantial contribution, DNSH, social safeguards and alignment strategies

An activity is aligned with the Green Taxonomy if it contributes substantially (CS) to one of these six objectives in line with the Technical Screening Criteria (TSC) and does no significant harm (DNSH) to the other five while complying with a set of Minimum Social Safeguards.

A substantial contribution to an objective, without doing significant harm to the other five, is called a "Taxonomy-alignment strategy".

Regulation 2020/852 sets out (Art. 9) and defines (Arts. 10 to 15) six environmental objectives:

CLIMATE CHANGE MITIGATION

CLIMATE CHANGE ADAPTATION

SUSTAINABLE USE AND PROTECTION OF WATER AND MARINE RESOURCES

TRANSITION TO A CIRCULAR ECONOMY

POLLUTION PREVENTION AND CONTROL

PROTECTION AND RESTORATION OF BIODIVERSITY AND ECOSYSTEMS

Regulation (EU) 2020/852 establishes the framework of what is deemed of significant harm to each of the six environmental objectives (Art. 17).

It also stipulates the minimum social safeguards to be observed (Art. 18): « *procedures implemented by an undertaking that is carrying out an economic activity to ensure the alignment with the OECD Guidelines for Multinational Enterprises and the UN Guiding Principles on Business and Human Rights, including the principles and rights set out in the eight fundamental conventions identified in the Declaration of the International Labour Organisation on Fundamental Principles and Rights at Work and the International Bill of Human Rights* »

2.3.3. Technical criteria available for two Taxonomy-alignment strategies : Climate change adaptation and Climate change mitigation

To date, the only delegated act adopted by the European Commission supplementing Regulation 2020/852 is Delegated Regulation 2021/2139 of 4 June 2021.

This delegated act establishes the technical screening criteria for determining the conditions under which an economic activity qualifies as contributing substantially to climate change mitigation (Annex 1) or climate change adaptation (Annex 2) and for determining whether that economic activity does no significant harm to any of the other environmental objectives

Taxonomy alignment that uses one substantial contribution or the other (i.e. one Annex or the other) as referred to by "Taxonomy alignemtn strategy"

More delegated regulations are yet to be published and adopted, to determine alignment conditions for the four remaining objectives.

Eventually, this would lead to a third alignment strategy, consisting of a substantial contribution to the transition to a circular economy, without doing significant harm to the five other objectives. New technical screening criteria would then be developed for each activity.

2.4 - Green Taxonomy technical criteria for commercial real estate

2.4.1. A compendium of six lists of technical criteria

For the commercial real estate sector, the study carried out by CERTIVEA and presented in the third chapter focuses on the three eligible activities that could be mirrored by HQE certifications, namely Construction (7.1), Renovation (7.2) and Acquisition and Ownership (7.7).

For the purpose of this study, technical screening criteria for an eligible activity consisting of a substantial contribution to one objective without doing significant harm to the five other objectives are referred to as "list of criteria".

We thus examine in this report a total of six lists of criteria :

- Three lists of technical criteria for substantial contribution to climate change mitigation without doing significant harm to the five other objectives, one for each of the eligible activities retained in this report
- Three lists of technical criteria for substantial contribution to climate change adaptation without doing significant harm to the five other objectives ; one for of the eligible activities retained in this report

It is worth noting that the technical criteria can be qualitative or quantitative.

It is important to note that this report doesn't cover the minimum social safeguards.

2.4.2. Different numbers of criteria depending on the alignment strategy and eligible activity

The European Commission identifies six environmental objectives, where one or multiple criteria must be met for an objective in terms of substantial contribution, and one or multiple criteria must be met for an objective in terms of DNSH for each eligible activity.

An in depth examination of these lists of criteria yields the following findings:

- For activity 7.7, Delegated Regulation 2021/2139 specifies only substantial contribution and DNSH criteria for the 2 environmental objectives
- Many criteria refer to European Directives, Appendices, and footnotes all of which form an integral part of the text

For each substantial contribution or DNSH, where a set of criteria is set, these criteria could be established according to their theme.
Based on these findings,

Table 1 shows the technical criteria breakdown for each of the activities 7.1, 7.2 and 7.7 covered in this report for the Climate change mitigation alignment-strategy

Table 2 shows the technical criteria breakdown for each of the activities 7.1, 7.2 and 7.7 covered in this report for the Climate change adaptation alignment-strategy

	Construction of new buildings (7.1)	Renovation of existing buildings (7.2)	Acquisition & Ownership of buildings (7.7)
Substantial contribution to Climate change mitigation (CS1)	3	1	2
Do no significant harm to Climate change adaptation (DNSH2)	1	1	1
Do no significant harm to the sustainable use and protection of water and marine resources (DNSH3)	2	1	0
Do no significant harm to the transition to a circular economy (DNSH4)	2	2	0
Do no significant harm to pollution prevention and control (DNSH5)	5	4	0
Do no significant harm to the protection and restoration of biodiversity and ecosystems (DNSH6)	2	0	0
Total number of technical criteria	15	9	3

Table 1 - Technical criteria breakdown by eligible activity, for alignment strategy with the Climate change mitigation objective

	Construction (7.1)	Renovation (7.2)	Acquisition & Ownership (7.7)
Substantial contribution to Climate change adaptation (CS2)	2	1	1
Do no significant harm to Climate change mitigation (DNSH1)	1	2	2
Do no significant harm to the sustainable use and protection of water and marine resources (DNSH3)	2	1	0
Do no significant harm to the transition to a circular economy (DNSH4)	2	2	0
Do no significant harm to pollution prevention and control (DNSH5)	5	4	0
Do no significant harm to the protection and restoration of biodiversity and ecosystems (DNSH6)	2	0	0
Total number of technical criteria	14	10	3

Table 2 - Technical criteria breakdown by eligible activity, for the climate change adaptation objective

3 Study by CERTIVEA on the correspondences between the Green Taxonomy technical criteria and the technical requirements of HQE Certifications

3.1 - Overview of the study carried out by CERTIVEA

To summarize, HQE certifications and the Green Taxonomy both address sustainable building, using different approaches and having different objectives:

- For more than fifteen years, companies have voluntarily sought HQE certification to provetheir buildings' performance, whether new, renovated or in operation, as per a set of requirements listed in the certification schemes.
- As of 2023, the Green Taxonomy sets a new mandatory classification framework for companies requiring them to identify their "green" or "Taxonomy-aligned" buildings as per a set of technical screening criteria listed in the delegated acts.

	HQE Certification	Green Taxonomy
Status	Sign of quality	Regulation
Originator	Alliance HQE-GBC and CERTIVEA	European Commission
Use	Voluntary	Mandatory
Field of application	Commercial real estate, Territorial Development	Eligible economic activities
Scope	Sustainable development: Environment, Social, Governance (ESG) and Economy	Environment
Purpose	Competition: certifying and promoting the performance of buildings	Financial: directing capital to sustainable activities and tackling greenwashing
Architecture	• Certification • Certification Scheme • Themes • Requirements	• Eligible activity • Substantial Contribution to one of the 6 environmental objectives • Do no significant harm to the 5 others (DNSH) • Technical screening criteria

3.1.1. Purpose of the study: comparing the Green Taxonomy and HQE certifications

In view of these two technical compendium, CERTIVEA has carried out a study with the purpose of establishing correspondences between the two of them by identifying :

- the correspondences between the Green Taxonomy technical criteria and the requirements of HQE certification schemes;
- whether meeting the requirements of HQE certification implies that the Green Taxonomy technical criteria are also met
- ultimetly, whether HQE certifications can be considered evidence for Taxonomy-alignment

HQE certifications are a recognised long-standing tool that has helped stakeholders in the commercial sector to improve the overall environmental, social and economic performances of their commercial buildings.

The challenge driving this study was to demonstrate that they can alsobe recognized as a tool to be used by financial and non-financial companies and their auditors to meet the new reporting obligations established by the European Union.

Stephen Richardson,
Director Europe, World Green Building Council (WGBC)

" Europe's buildings are one of the biggest sources of carbon emissions in the region, responsible for over a third of Europe's carbon footprint. Achieving a climate neutral continent by 2050 will only be possible if we tackle the total carbon impact of the built environment. For the existing building stock this will mean tripling renovation rates and increasing the depth - that is the energy improvement of each renovation - by a factor of six, requiring an additional €275 million investment per year.

The EU Taxonomy has the potential to help unlock more investment in sustainable real estate. But there are many pitfalls that must be overcome to make it a success.

Through our network of 23 national Green Building Councils we are collecting insights from across the region. We see that the market needs more guidance to understand the Taxonomy and how to apply it in our sector. We also see a need to align interpretation of the Taxonomy criteria and avoid divergence in how it is used. Finally we know that the Taxonomy will need to be regularly reviewed and updated to ensure it remains fit for purpose and our network can provide essential feedback to the European Commission on how to achieve this.

We welcome and support the work that Alliance HQE-GBC has done in France to provide the market with tools and guidance to apply the Taxonomy to real estate. Through collaboration and knowledge sharing across our network, we can ensure the Taxonomy helps our sector deliver on the ambitious goals of the European Green deal. "

3.1.2. Scope of the study

Three Taxonomy- eligible activities:

- 7.1 : Construction of new buildings
- 7.2 : Renovation of existing buildings
- 7.7 : Acquisition and Ownership of buildings

Two strategies for Taxonomy-alignment :

substantial contribution to one of the two climate objectives (climate change mitigation and climate change adaptation) without doing significant harm to the other five

Nine HQE certification schemes for commercial buildings:

- Three NF HQE BT certifications (Construction, Renovation, Operation) launched in 2011 and 2012, which will cease commercialisation at end-2022
- Three certifications (Construction, Renovation, Operation) within the 3rd version of HQE Sustainable Building (HQE-BD V3) launched in 2019, which will cease commercialisation at end-2022
- Three certifications (Construction, Renovation, Operation) within the 4th version of HQE Sustainable Building (HQE-BD) launched in June 2022

Despite the fact that CERTIVEA will stop marketing the previous versions at end-2022, these certifications are far from being obsolete. In fact, every project kicked off and signed before the release of the new version shall be certified under the previous versions' schemes, hence the importance of including them within the scope of the study.

3.1.3. Construction of correspondence tables between Taxonomy criteria and HQE schemes requirements

CERTIVEA compared the content of the Green Taxonomy technical criteria to the technical requirements of HQE certification schemes, and cross checked the supporting documentation, for all possible scenarios within the scope of the study.

For each Taxonomy alignment strategy possible today, a : the following are mapped out :

- each of the construction certification schemes within the scope of Construction in relation to activity 7.1, which primarly concerns the building's developers and contracting companies (in terms of turnover and OpEx and CapEx if developers also owns the building)
- each of the renovation certification schemes within the scope for Renovation in relation to activity 7.2, which concerns renovation contractors (in terms of turnover and OpEx) and developers renovating their own portfolio of buildings (buildings stock) (in terms of CapEx)
- each of the certification schemes within the scope (total of 9) in relation to activity 7.7, which primarily concerns companies acquiring or long-term renting a new or a renovated building (in terms of CapEx) and companies leasing or operating a building (in terms of turnover and OpEx)

CERTIVEA thoroughly analysed the Green Taxonomy technical criteria in the six possible "scenarios" : three eligible activities for each of the two alignment strategies

The Taxonomy regulatory framework was looked at and analysed from a certification body's perspective: Each of the proposed 6 scenarios was considered separately as a scheme, where a checklist of requirements has be met; evidently, a set of supporting documentation is to be provided for each of the requirements to prove compliance.

Accordingly, the two schemes were mapped through checking for each of the EU Taxonomy criteria against its equivalent in the HQE certification scheme, and matching in detail the key elements in both. Ultimately, when a requirement in the HQE certification scheme is met, this means that its corresponding EU Taxonomy criterion is also met.

Figures 6 and 7 illustrate selected EU Taxonomy criteria and their corresponding requirements in an HQE certification scheme.This correspondence is not always established by a one-on-one approach .These examples show that a single Taxonomy criterion can be reflected in multiple HQE requirements, and vice versa.

Statement of technical criterion DNSH 5 : Pollution prevention and reduction Annex 1 Climate Change Mitigation		Corresponding credit in the certification scheme HQE BD v4
Building components and materials used in the construction comply with the criteria set out in Appendix C to this Annex.		
Building components and materials used in the construction that may come into contact with occupiers emit less than 0,06 mg of formaldehyde per m³ of material or component upon testing in accordance with the conditions specified in Annex XVII to Regulation (EC) No 1907/2006 and less than 0,001 mg of other categories 1A and 1B carcinogenic volatile organic compounds per m³ of material or component, upon testing in accordance with CEN/EN 16516 or ISO 16000-3:2011 or other equivalent standardized test conditions and determination methods	>	**QAIR1.2 Indoor Air Quality Performance** • QAIR1.2.1 Indoor air quality performance • Prerequisites achieved for the REACH Regulation • Prerequisites met regarding the formaldehyde threshold • Prerequisites met regarding the letter of commitment
Where the new construction is located on a potentially contaminated site (brownfield site), the site has been subject to an investigation for potential contaminants, for example using standard ISO 18400.		

Figure 6: Correspondence between a set of three technical criteria and one HQE requirement

Statement of technical criterion DNSH 4 : Transition to a circular economy		Corresponding credits in the certification scheme HQE BD v4
Building designs and construction techniques support circularity and in particular demonstrate, with reference to ISO 20887288 or other standards for assessing the disassembly or adaptability of buildings, how they are designed to be more resource efficient, adaptable, flexible and dismantleable to enable reuse and recycling.	>	**ADAP2.1 Adaptable design for a same-use-building** • ADAP2.1.1 Structural measures facilitating future adaptations >(sub credit is to meet Level 1) • ADAP2.1.3 Account for reservations on the second fix > (sub credit is to meet Level 1) **ADAP2.2 Transformable, reversible and demountable design** • ADAP2.2.5 Adaptable structural design > (sub credit is to be met) • ADAP2.2.10 Resource-efficient design and measures accounting for end-of-life > (sub credit is to be met)

Figure 7: Correspondence between one technical criterion and a set of multiple HQE requirements

CERTIVEA carried out this study with the contributions of a designated team from Deloitte.. This contribution from an auditing firm with extensive hands-on experience in non-financial reporting allowed CERTIVEA to better understand an auditor's perspective ; This was particularly useful since auditors are the party that will ultimately certify the green KPIs and other data pertaining to the new sustainability reporting requirements.

3.2 - Results of the study

The correpondances tables between the Green Taxonomy technical criteria and the requirements of HQE scheme built by CERTIVEA are available upon request in Excel format.

For the newest version HQE-BD v4 the correspondences are also implemented in CERTIVEA's digital platform : ISIA.

3.2.1. HQE certifications' contribution Taxonomy-alignement

The study carried out by CERTIVEA shows different levels of correspondence for each of NF HQE, HQE-SB v3 and HQE-SB v4. This is reasonable considering the different tenures, schemes themes, and requirements.

CERTIVEA's study shows that all of HQE certifications within the scope of this study do provide Taxonomy-alignment evidence, where some provide evidence for all of the technical criteria and some for a portion.

Evidence collected within the HQE Certifications are :

- Automatic evidence: obtained straightaway when a building's certified.
- Conditional evidence : obtained provided that the certified building meets a specified level of performance. These specified levels of performance for each requirement can be found in the correspondence tables

A building that has targeted and obtained an HQE certification providing all evidence required for all technical criteria, is a Taxonomy-aligned building, which is the case for HQE SB V4 certifications for Construction, renovation and acquisition.

A building that has targeted and obtained an HQE certification, providing evidence required for only a portion of the technical criteria, could still be aligned with the Green Taxonomy, which is the case for HQE SB V3 et NF HQE BT certifications for Construction, renovation and acquisition.

For the latter, CERTIVEA provides checklists pinpointing the technical criteria to which the certification scheme itself doesn't provide evidence.
Where the certification doesn't provide an evidence, additional documentation must be retro-provided to verify compliance. Two possibilities arise :

- the criteria may still be addressed by the certification scheme with a different approach, making the collection of documentation easier
- or the criteria is not be addressed in the certification scheme

3.2.2. Results overview and conclusions

- **Many correspondences are established between the Green Taxonomy and HQE certifications.**
- **HQE-SB v4 certifications for Construction, Renovation and Operations provide all the required evidence that an HQE certified building meets all Taxonomy screening criteria, and therefore the construction , renovation, and acquisition associated with the building is Taxonomy-aligned.**
- **HQE-SB v3 certifications and NF HQE certifications for Construction, Renovation and Operations provide required evidence that an HQE certified building meets multiple Taxonomy screening criteria,**

  Additional elements are yet to be provided to confirm compliance. As already stated, these elements consist of supporting documentation Related to criteria addressed in the certification scheme with a different approach and to criteria not addressed in the certification schemeand which needs to be verified through further analysis.

In view of all the above, HQE certifications can be used to as an evidence for Taxonomy-alignment

Therefore, these certifications can be considered as a tool that helps financial and non-financial companies and their auditors to:

- identify commercial buildings that are compliant with Taxonomy screening criteria, yielding in Taxonomy-aligned related activities, and thus Taxonomy aligned turnover, CapEx and OpEx associated with these activities
- provide information on “how” and “to what extent” their related economic activities qualify as environmentally sustainable and Taxonomy aligned , as required under the new European regulations.

3.3 - Additional tools and services offered by CERTIVEA

Based on the findings on the correspondences between the Green Taxonomy and the HQE certification schemes, CERTIVEA developed a series of tools to be used for certified buildings or buildings under certification.

1. Attestation of conformity

- An attestation of conformity could be delivered further to checking that all Taxonomy criteria are met in accordance with the activity concerned. This attestation is issued alongside and complementary to the certification for HQE SB V4.

- For HQE SB V3 and HQE NF BT, attestation of conformity can be issued subject to verification that the certified project or project under certification meets the requirements matching Taxonomy criteria, AND subject to further verification of the elements that the certification itself doesn't cover .

- Upstream of the project, a project (certified or under certification) engaged in the process of demonstrating compliance, is eligible to receive a "certificate of engagement", which could provide supporting evidence in reporting and used with financial institutions to demonstrate eligibility to "Taxonomy funding",

2. Correspondence tables

Correspondence tables are provided (upon request) listing all corresponding elemnts between the Taxonomy criteria and the HQE criteria. These tables are built to account for every possible scenario covering all activities and certification schemes within the scope of this study.
This evaluation tool is made available in excel (dynamic analysis grills) to allow project holders to auto evaluate their status towards Taxonomy compliance and activity alignment.

This attestation is intended to lighten the workload of companies and their auditors by providing evidence of the Taxonomy-alignment of the activity associated with the certified building.

Stakeholders interested in learning more about this solution are kindly invited to contact CERTIVEA (see contacts p. 45).

3.4 - Detailed results of the study carried out by CERTIVEA

The results on correspondence are consolidated in the following tables, which ultimately show for each possible mapping scenario the proportion of Taxonomy aligned technical criteria matched in the HQE certification for each possible mapping scenario.

3.4.1. Consolidated results for HQE-SB v4

	HQE SB v4 Construction				HQE SB v4 Renovation				HQE SB v4 Operation	
	7.1 Construction of New Buildings		7.7 Acquisition & ownership of buildings		7.2 Renovation of existing building		7.7 Acquisition & ownership of buildings		7.7 Acquisition & ownership of buildings	
	Climate change mitigation (Annex 1)	Climate change Adaptation (Annex 2)	Climate change mitigation (Annex 1)	Climate change Adaptation (Annex2)	Climate change mitigation (Annex 1)	Climate change Adaptation (Annex 2)	Climate change mitigation (Annex 1)	Climate change Adaptation (Annex 2)	Climate change mitigation (Annex 1)	Climate change Adaptation (Annex2)
Taxonomy-alignment technical criteria	15	14	3	3	9	10	3	3	3	3
Technical criteria matched in the certification	15	14	3	3	9	10	3	3	3	3
Technical criteria addressed in the certification using a different approach	0	0	0	0	0	0	0	0	0	0
Technical criteria not addressed by the certification	0	0	0	0	0	0	0	0	0	0
Proportion of Taxonomy aligned technical criteria matched in the certification	15/15	14/14	3/3	3/3	9/9	10/10	3/3	3/3	3/3	3/3

3.4.2. Consolidated results for HQE SB V3

	HQE SB v3 Construction				HQE SB v3 Renovation				HQE SB v3 Operation	
	7.1 Construction of New Buildings		7.7 Acquisition & ownership of buildings		7.2 Renovation of existing building		7.7 Acquisition & ownership of buildings		7.7 Acquisition & ownership of buildings	
	Climate change mitigation (Annex 1)	Climate change Adaptation (Annex 2)	Climate change mitigation (Annex 1)	Climate change Adaptation (Annex2)	Climate change mitigation (Annex 1)	Climate change Adaptation (Annex 2)	Climate change mitigation (Annex 1)	Climate change Adaptation (Annex 2)	Climate change mitigation (Annex 1)	Climate change Adaptation (Annex2)
Taxonomy-alignment technical criteria	15	14	3	3	9	10	3	3	3	3
Technical criteria matched in the certification	6	7	0	2	3	4	0	1	0	1
Technical criteria addressed in the certification using a different approach	7	5	2	1	5	5	1	1	1	1
Technical criteria not addressed by the certification	2	2	1	0	1	1	2	1	2	1
Proportion of Taxonomy aligned technical criteria matched in the certification	6/15	7/14	0/3	2/3	3/9	4/10	0/3	1/3	0/3	1/3

3.4.3. Consolidated results for NF HQE

	HQE NF BT Construction				HQE NF BT Renovation				HQE NF BT Operation	
	7.1 Construction of New Buildings		7.7 Acquisition & ownership of buildings		7.2 Renovation of existing building		7.7 Acquisition & ownership of buildings		7.7 Acquisition & ownership of buildings	
	Climate change mitigation (Annex 1)	Climate change Adaptation (Annex 2)	Climate change mitigation (Annex 1)	Climate change Adaptation (Annex2)	Climate change mitigation (Annex 1)	Climate change Adaptation (Annex 2)	Climate change mitigation (Annex 1)	Climate change Adaptation (Annex 2)	Climate change mitigation (Annex 1)	Climate change Adaptation (Annex2)
Taxonomy-alignment technical criteria	15	14	3	3	9	10	3	3	3	3
Technical criteria matched in the certification	7	8	1	2	5	5	1	2	1	2
Technical criteria addressed in the certification using a different approach	3	2	1	0	2	3	0	0	0	0
Technical criteria not addressed by the certification	5	4	1	1	2	2	2	1	2	1
Proportion of Taxonomy aligned technical criteria matched in the certification	7/15	8/14	1/3	2/3	5/9	5/10	1/3	2/3	1/3	2/3

Annexes

Bibliography

Green Taxonomy

Regulation 2020/852 of 18 June 2020 on the establishment of a framework to facilitate sustainable investment (called the "Taxonomy Regulation")

Delegated Regulation 2021/2139 of 4 June 2021 establishing the technical screening criteria for determining the conditions under which an economic activity qualifies as contributing substantially to climate change mitigation (Annex 1 of the Regulation) or climate change adaptation (Annex 2) and for determining whether that economic activity causes no significant harm to any of the other environmental objectives

Delegated Regulation 2021/2178 of 6 July 2021 supplementing Regulation 2020/852 by specifying the content and presentation of information to be disclosed by undertakings concerning environmentally sustainable economic activities, and specifying the methodology to comply with that disclosure obligation

FAQ: What is the EU Taxonomy Article 8 delegated act and how will it work in practice? (European Commission)

European Commission Notice C385/1 on the interpretation of certain legal provisions of the Disclosures Delegated Act under Article 8 of EU Taxonomy Regulation on the reporting of eligible economic activities and assets

EU Taxonomy Compass, European Commission website listing all sustainably eligible European activities as defined in the Taxonomy Regulation

Other components of EU strategy on sustainable finance

Sustainable Finance Disclosure Regulation (SFDR): Regulation 2019/2088 of 27 November 2019 on sustainability-related disclosures in the financial services sector

Corporate Sustainability Reporting Directive (CSRD): proposal for a Directive of the European Parliament and of the Council as regards corporate sustainability reporting (29 June 2022), amending Non-Financial Reporting Directive or NFRD of 2014/95 of 22 October 2014

Green bonds: proposal for a Regulation of the European Parliament and of the Council on European green bonds (6 July 2021) and Annexes 1 to 4 of this proposal for a Regulation

Delegated Regulation 2021/1253 of 21 April 2021 amending Delegated Regulation (EU) 2017/565 as regards the integration of sustainability factors, risks and preferences into certain organisational requirements and operating conditions for investment firms

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CERTIVEA

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TO SUSTAINABLE LIVING ENVIRONMENTS

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